DEBT & EQUITY

Ponce Bank's $50M Canarsie Loan: Construction Debt Returns Only for the Right Sponsor

A community bank underwrites a 198-unit Brooklyn project, revealing the underwriting margin that separates investable deals from attractive stories.

July 18, 2026 · Commercial Observer · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

A $50 million construction loan for a 198-unit apartment project in Canarsie closed July 13. That is the headline. The more revealing fact is which lender provided the capital and what that lender required to say yes.

Ponce Bank, a community bank based in the Bronx, supplied the debt for Midwood Group's ground-up development of two contiguous buildings at 937 and 951 East 108th Street. Arrow Real Estate Advisors arranged the transaction. The project will span 143,083 square feet with 71 parking spaces and is slated to begin construction in early 2027. A portion of the units will be designated as affordable under New York State's 485-x tax abatement program.

The deal matters because it shows that construction financing has not vanished from New York City. It has become conditional. The conditions are specific enough to define which sponsors get capital and which do not.

Start with the lender. Ponce Bank is not a national balance sheet lender or a debt fund charging SOFR plus 700. It is a community bank with a stated mission of investing in Brooklyn and the city's housing supply. Carlos Naudon, the bank's president and CEO, framed the loan as an investment in the borough and in housing supply. That language is not boilerplate. It signals that the bank is underwriting the project's public benefit as part of its credit thesis. The 485-x tax abatement reduces carrying costs during the lease-up period. The affordable component creates a relationship with the city that makes a default less likely to be ignored. Community banks can afford to lend into this structure because their cost of capital is lower than a debt fund's and their relationship with the borrower matters more than a single loan's yield.

Now consider the sponsor. Midwood Group is not a first-time developer. Arrow's team, led by Israel Mermelstein, Morris Betesh, and Louis Halperin, described the sponsor as having strength, ability, and experience. That is the underwriting margin that separates an investable deal from an attractive story. A lender will finance a project when the sponsor has a track record of completing similar projects on time and on budget. A lender will not finance a project when the sponsor has only a site plan and a pitch deck. The market is not rewarding ambition. It is rewarding execution history.

The basis also matters. The two sites at 937 and 951 East 108th Street are in Canarsie, a neighborhood that has not seen the same price appreciation as Williamsburg, Greenpoint, or Bushwick. Land costs are lower. Rent expectations are more modest. The project's total cost of $50 million for 198 units works out to roughly $252,525 per unit, including land, hard costs, soft costs, and financing. That is a defensible basis in a market where new construction in prime Brooklyn neighborhoods can exceed $600,000 per unit. A lower basis means the project can absorb higher interest rates, longer lease-up periods, and lower rents without breaking the debt service coverage covenant.

The 485-x tax abatement is the third leg of the stool. It reduces property taxes for a defined period, which improves the project's cash flow during the critical first years of operation. That improvement makes the debt service coverage ratio more comfortable for the lender. It also makes the project more attractive to an eventual permanent lender or agency capital provider when the construction loan matures.

What the deal does not reveal is equally instructive. There is no mention of a floating-rate tranche, a mezzanine piece, or a preferred equity layer. The capital stack appears to be straightforward: Ponce Bank's construction loan and Midwood Group's equity. That simplicity is itself a signal. When a project requires multiple layers of expensive capital to pencil, the lender is taking more risk. When the lender can underwrite the entire senior debt position at a community bank's cost of funds, the project has a margin of safety that complex capital stacks lack.

The market should test whether this structure repeats. If other community banks begin lending into 485-x projects with experienced sponsors and low land bases, construction financing may return to Brooklyn's outer neighborhoods before it returns to the core. If the deals remain one-off relationships, the market will know that capital is still rationed by trust, not by price.

For owners and developers watching from the sidelines, the lesson is specific. The project that gets financed is the one where the sponsor has done it before, the land is owned at a defensible basis, the tax abatement is in place, and the lender knows the borrower personally. That is not a market returning to normal. It is a market rewarding structure over story.

SOURCES

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